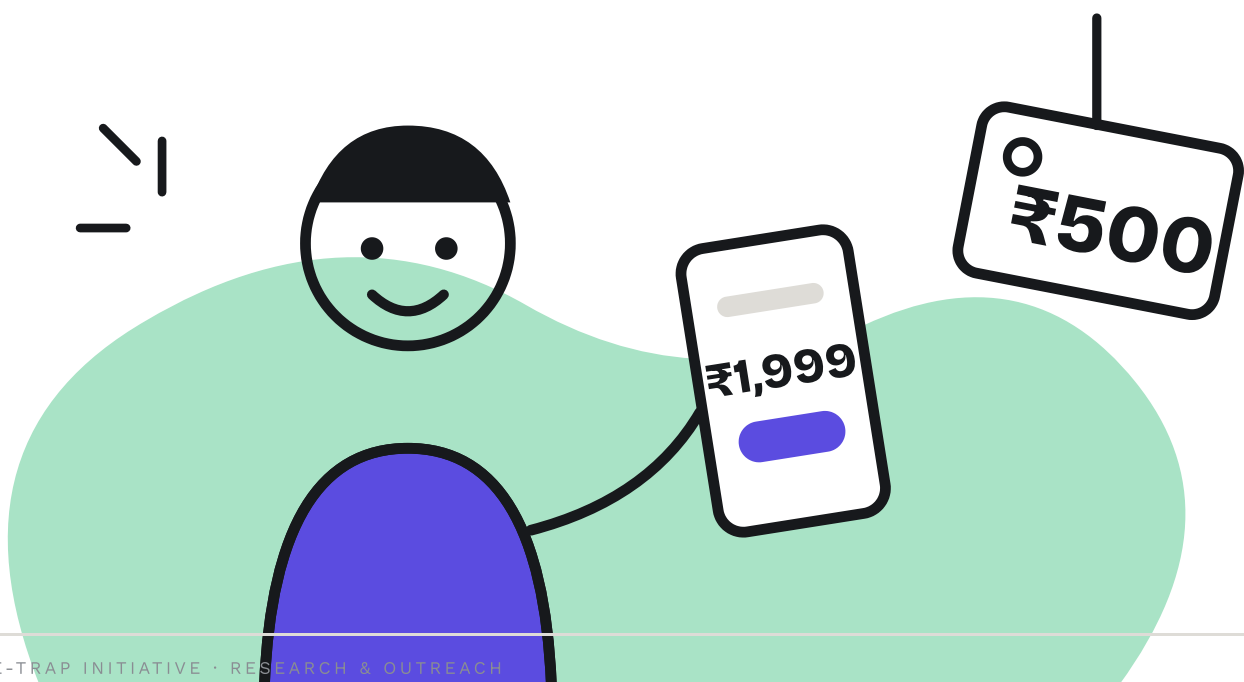


Free money isn't free.

THE DEBT TRAP

A short, honest guide to borrowing, interest and the apps on your phone. Written for anyone in Grades 9 to 12.



What's inside

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How to use this. Eleven chapters, one idea each, about twenty minutes with a pen. Every chapter ends with one small thing to fill in. The filling in is the point: nobody gets trapped by a loan they worked out on paper.

01 *Start Here: What Is Debt?*

You already borrow money.

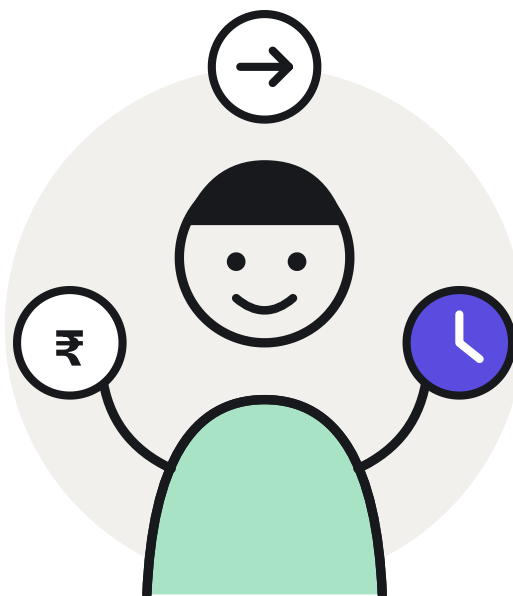
You may not have a bank account. You may have never seen a loan form. You have still borrowed money, and if you own a phone, someone is working hard to lend you more.

Credit Money you get to use before you have it.

Debt What you owe because you took it.

Interest The rent you pay for using it.

Debt is not the enemy. A loan you understood and can afford is a useful tool. A loan you never worked out is a trap.



TICK ANYTHING YOU HAVE DONE

- ☐ Bought something with "pay in 3 parts" ☐ Ordered now, paid later ☐ Borrowed ₹100 from a friend and forgot ☐ Seen an app promise cash in five minutes

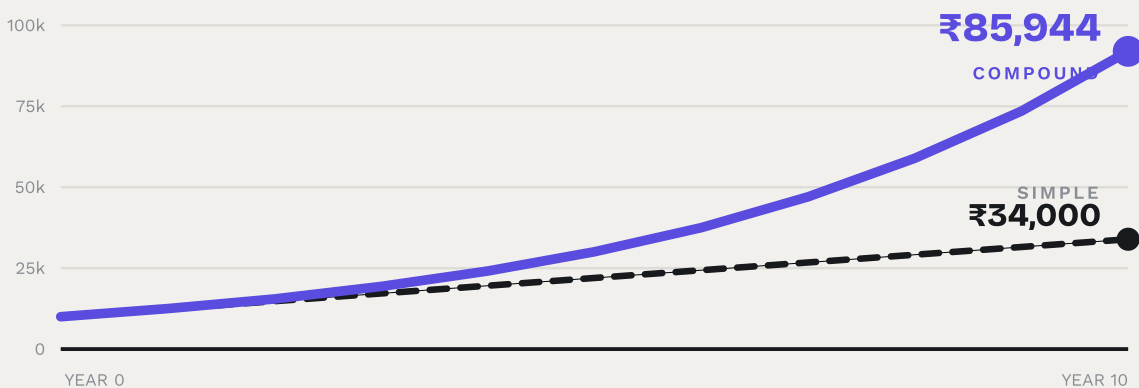
02 *How Interest Works*

The line and the curve.

Two ways to charge interest. They look almost identical at the start and end in completely different places. **Simple interest** is charged only on what you first borrowed. **Compound interest** is charged on everything you owe, including interest already added.

THE ONE CHART IN THIS BOOK

₹10,000 borrowed at 24% a year, tracked for ten years.



Same loan, same rate, same time. The gap is ₹51,944 of your money.

Over two years the two are ₹10 apart. Over ten, they are worlds apart.

YOUR TURN

Borrow ₹5,000 at 10% simple for 3 years.

Interest = $5,000 \times 0.10 \times 3 = ₹$ _____

You repay ₹ _____

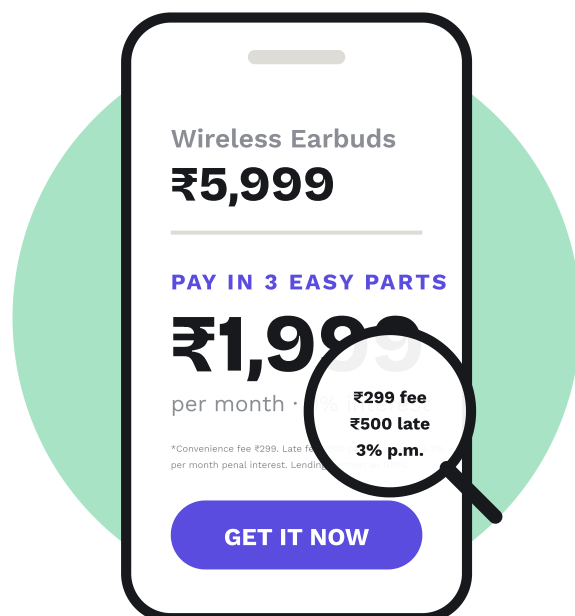
03 *BNPL and "Pay Later" Offers*

Buy now. Pay later.

Buy Now Pay Later lets you take the product today and pay in parts, advertised as 0% interest. Instant loan apps put ₹1,000 to ₹50,000 in your account in minutes, for 7 to 30 days.

Both are **unsecured**. You pledge no house, no gold, nothing. Nothing to seize means higher charges and harder chasing. That is the whole trade.

None of this is illegal, and many are run by licensed lenders. The danger is not that they are criminal. It is that they are engineered, and you are the one who has not read the design.



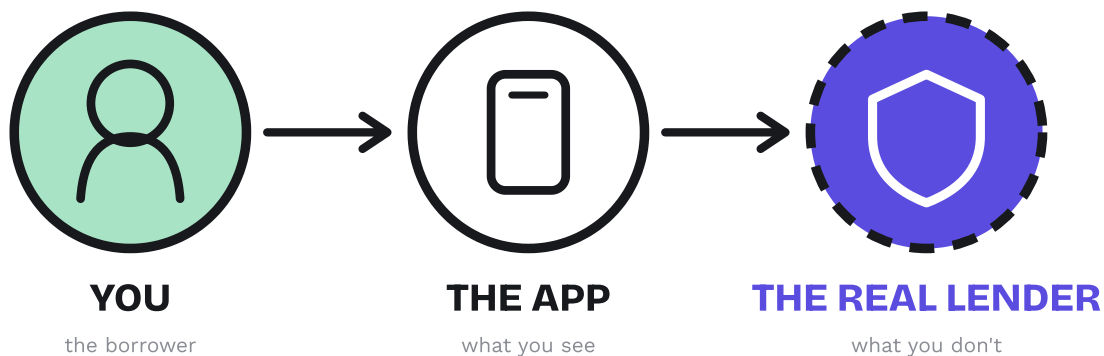
SPOT ONE IN THE WILD

An app or site you have seen offer this: _____ The small monthly number it showed you: ₹ _____

04 *Who Is Really Giving the Loan?*

The app is not the lender.

Almost nobody who uses these apps knows this. The app on your phone is usually a shop front. The money comes from a company you have never heard of.



WHO IS WHO

The real lender is a bank or NBFC licensed by the RBI, called a Regulated Entity. The app is usually a Lending Service Provider, which builds the software and makes the calls but does not own the loan.

WHY IT MATTERS LATER

When something goes wrong the app says it only built the software, and the lender says it never spoke to you. Knowing the real lender's name is what stops you being bounced between them.

TWO MINUTES, ONE QUESTION

Open any lending app. Find the real lender's name: _____

Did it take under two minutes? ☐ Yes ☐ No, and that is your answer.

05 *Where the Extra Money Goes*

**Borrow ₹10,000.
Receive ₹9,500.**

The interest rate is the part they advertise. It is rarely the part that hurts.
The real money sits in a stack of charges bolted on top.

gone before day one



Processing fee 2 to 6%
Cut before the money reaches you

Late payment fee ₹150 to ₹500
Flat, charged per miss

Penal interest +2 to 3% p.m.
Stacked on after you slip

GST 18%
Tax charged on the fees themselves

You still repay interest on the full ₹10,000, not on the ₹9,500 that actually reached you.
And "0% interest" is never free. Either the shop pays the app a commission that is already inside the sticker price, or you pay, but only if you slip.

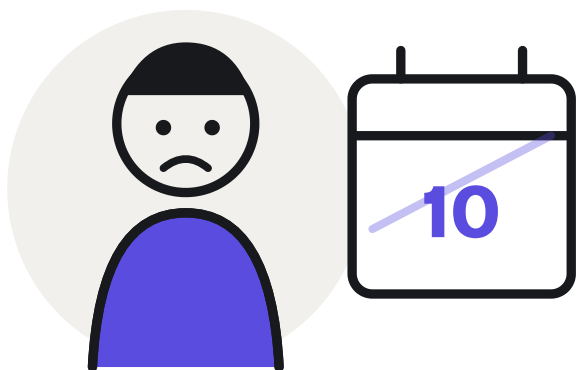
ONE QUESTION

On a loan of ₹2,000, which charge above costs you the most? _____

06 *Late Fees and Penalties*

Ten days late. Fifty percent **more.**

Late fees are usually a flat rupee amount per day, not a percentage. That sounds fairer. It is the opposite, because a flat fee has no relationship to how much you borrowed.



WHERE THE ₹1,520 CAME FROM

Late fees, ₹150 a day for 10 days	₹1,500
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Actual interest, same 10 days	₹20
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The interest rate was never the problem. The punishment was.

BUILD YOUR OWN

Amount owed ₹ _____ Fee per day ₹ _____ Days late _____ Total fees ₹ _____

07 *The Truth Behind "0%" Offers*

0% is true until you slip once.

A ₹15,000 phone over six months, zero percent interest, one small ₹299 convenience fee. Pay every instalment on time and it really is almost free. That is not a lie. It is a bet, and you are taking it.



₹15,000 plus the ₹299 fee. The advertised price.



A ₹500 flat fee plus about ₹50 penal interest, on one instalment.



About ₹1,100 in penalties. Nine percent above the sticker price.

Why they can afford to offer 0%. A predictable share of people will slip, and the penalties from that share pay for everyone else's free credit. You are betting that for six months in a row, on an exact date, money will be in your account.

BE HONEST

In the last six months, how many deadlines did you miss by even a day? _____

If that number is more than zero, you are not the person this offer was priced for.

08 *How to Spot a Bad Loan*

One calculation. Sixty seconds.

The offer: borrow ₹2,000 for 15 days, fee ₹100. It sounds like nothing. Turn any fee into a yearly percentage and it stops sounding like nothing.

STEP ONE · COST AS A %

$$100 \div 2,000 =$$

5%

for fifteen days

STEP TWO · HOW MANY

$$365 \div 15 =$$

24

chunks in a year

STEP THREE · MULTIPLY

$$5\% \times 24 =$$

122%

a year, the real price

That is roughly nine times a bank loan's rate, for the exact same rupee.

FIVE WAYS YOUR BRAIN GETS PLAYED

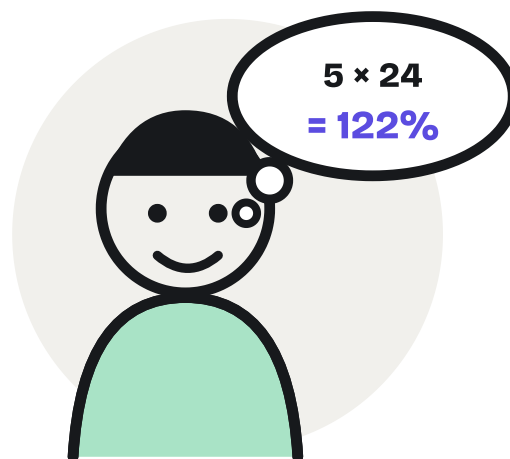
No friction. No forms, no wait, nobody asking why.

Framing. "₹299 a month" instead of the yearly total.

Present bias. The reward is today, the cost is a rumour.

Gamification. A bigger debt dressed up as a reward.

Isolation. Normal to borrow, shameful to admit you are stuck.

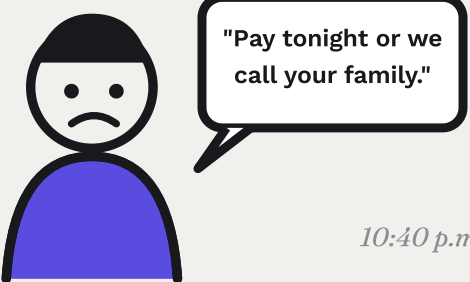


DO IT ON A REAL OFFER

Fee ₹ _____ ÷ Loan ₹ _____ = _____ % × (365 ÷ _____ days) = _____ % a year

Say it out loud.

A recovery agent may not call before 8 a.m. or after 7 p.m., may not contact your friends or relatives about your debt, and may not threaten or shame you. All of that is already illegal. It keeps happening because almost nobody reports it.



10:40 p.m.

Already illegal. Two rules broken at once.



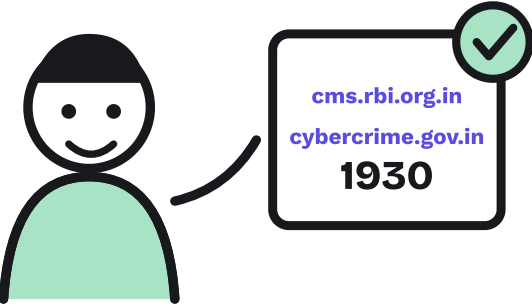
write it all down

Date, time, number, exact words. Screenshot everything.



"I need help."

Tell one adult today. Not once it is fixed. Today.



cms.rbi.org.in
cybercrime.gov.in
1930

Complain to the Grievance Officer, then escalate. Free.

DECIDE NOW, NOT LATER

The one adult I would tell: _____

10 *Check Yourself*

Check yourself.

Tick everything true for you right now and add up the points. This page is about you, not about an app, so honesty is the whole point of it.

- | | |
|--|---|
| ☐ I owe money to an app, a shop or a friend that I have not fully repaid. | 2 |
| ☐ I do not know the exact total I owe today, to the rupee. | 2 |
| ☐ I have been late on a repayment at least once. | 2 |
| ☐ I do not know the yearly percentage cost of anything I have borrowed. | 2 |
| ☐ If a ₹2,000 emergency hit tomorrow, I would have to borrow to cover it. | 2 |
| ☐ I have hidden a debt or a purchase from my family. | 3 |
| ☐ Someone has contacted me more than once about money I owe. | 3 |
| ☐ I have borrowed from one place to pay another. | 4 |

MY SCORE

/ 20

WHERE YOU SIT

0 to 2

Clear

3 to 7

Exposed

8 to 13

Slipping

14 to 20

Trapped

Scored 3 to 7? Work out the yearly cost of everything you owe, using page 10. You are not in trouble, you are flying blind.

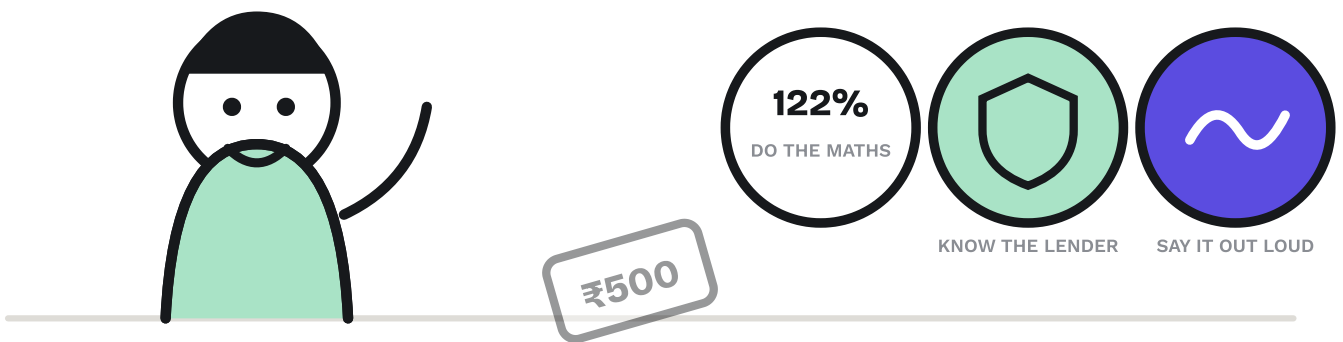
Scored 8 or more? Write down the full, real number you owe, then tell one adult this week. Page 11 says who to contact.



ONE THING I WILL DO THIS WEEK

The trap was never the money.

It was the silence. People do not get trapped by loans they understood. They get trapped by a number they never worked out, and then by not telling anyone.



Nobody gets trapped by a loan they understood.

If a number on a screen ever feels too small to worry about, that is exactly the moment to work it out. Sixty seconds and a phone calculator is the whole defence. Then tell someone. Silence is the cheapest tool a bad lender owns, and it is the only one you can take away from them for free.

KEEP THIS

- ☐ I can work out a yearly rate
- ☐ I know who really lends the money
- ☐ I know who I would tell

FOR PARENTS AND GUARDIANS

If a student showed you this, that is a good sign. Ask them to walk you through the calculation on page 10. It takes two minutes and it is the most useful habit in the book.